Methodology for Shariah-Compliant Investment Screening

An independent framework for evaluating public companies and funds against strict Shariah compliance criteria

Disclaimer. The author of this methodology is neither an Islamic scholar nor a student of Islamic knowledge. This document reflects independent, non-expert research and should not be treated as a religious ruling (*fatwa*). Anyone relying on this methodology, or on any conclusion it reaches about a specific company or fund, should verify it independently with a qualified scholar before acting on it. The methodology applies a particularly strict standard of screening, and investors following other qualified scholarly guidance may not be required to investigate every transaction to the same level of detail. The author bears no responsibility for any stock, fund, or transaction later found to be impermissible.

This document is for educational and research purposes only. Nothing here is investment, financial, religious, or legal advice, nor a recommendation to buy or sell any security. Results may become outdated as companies release new financial statements.

1. Purpose

Many companies and financial products are marketed as "Islamic" or "Shariah-compliant" without the underlying structure genuinely satisfying Shariah requirements. A common example is organized *tawarruq*, a financing structure frequently labeled Islamic despite functioning, in substance, as a disguised interest-bearing loan [1]. This methodology was developed to look past such labeling and evaluate companies and funds against a stricter, primary-source-based standard of compliance, examining actual financial structures and underlying contracts rather than accepting self-reported certifications at face value.

The primary-source framework behind this standard draws specifically on the rulings of Shaykh Ibn Baz, Shaykh Ibn 'Uthaymeen, and IslamQA.info.

The candidate universe for screening is drawn from Dr. Muhammad ibn Sa'ud al-'Usaymi's "pure stocks" list, dated 15 August 2025 [2]. Inclusion on this list is treated as a starting point rather than a final clearance; every candidate is independently re-screened against current financial data and the criteria below before being considered compliant.

Companies outside this list may also be Shariah-compliant; al-'Usaymi's list is used here as a convenient and credible starting point, not as an exhaustive universe of compliant stocks.

This approach deliberately applies a stricter standard than conventional AAOIFI-style screening (AAOIFI Shari'ah Standard No. 21), which commonly tolerates interest-bearing debt of up to 30% of market capitalization, interest-bearing cash and securities of up to 30% of market capitalization, and impermissible income of up to 5% of total revenue, with purification of the impermissible share [3]. This methodology instead applies a zero-tolerance standard to intentional exposure: any confirmed, non-incidental exposure to conventional debt or interest income excludes a company outright, regardless of its proportion to total assets or income.

2. Core Business Criteria

A company's core business and assets must be halal. Companies whose primary business activity is prohibited are excluded outright [4]. A company that demonstrates an explicit intent or policy of upholding Shariah principles in its operations is viewed favorably, and this is actively sought out during screening rather than treated as incidental.

Prohibited activities. A company is excluded if it derives revenue from any of the following: alcohol, tobacco, gambling, pork products, conventional banking, conventional insurance, adult entertainment, or other activities clearly prohibited in Islam.

Scope of screening. Screening is applied on a consolidated basis. A company is also excluded if any of its subsidiaries or associates fails the criteria in Sections 2 to 4.

Non-core impermissible revenue. A company that intentionally derives revenue from any prohibited activity is excluded regardless of that revenue's share of the total. Only genuinely accidental or unavoidable income is treated under Section 3.4. [4]

3. Conventional Debt and Interest

3.1 Conventional Riba-Based Debt

Companies must carry zero conventional interest-bearing debt. This includes conventional loans, overdrafts, bonds, and other riba-based borrowing. [4]

3.2 Conventional Interest Income

Companies must report zero conventional interest income, including income from interest-bearing deposits, conventional loans, conventional bonds, or similar riba-based instruments. [4]

3.3 Treasury and Cash Management Practices

Companies are expected to maintain Shariah-compliant treasury practices. A company that intentionally holds funds in conventional interest-bearing accounts or deposits as part of its treasury strategy is excluded, regardless of how small the resulting interest income is. Ordinary operating cash held in a bank account is not automatically treated as interest-bearing; this exclusion requires evidence that the funds actually generate conventional interest. [4]

Where a company places funds in an “Islamic” deposit or investment product (for example, commodity Murabaha or tawarruq placements), the underlying structure is evaluated under Section 4 in the same way as a financing facility, with the company in the position of the financier rather than the customer. A return from a structure that fails Section 4 is treated as conventional interest income under Section 3.2.

3.4 Incidental Impermissible Income

A genuinely accidental or unavoidable instance of impermissible income may be considered separately where the company's overall structure and treasury practices are otherwise compliant. Any such determination must be supported by evidence of the circumstances and appropriate disposal of the amount. This exception does not apply to intentional conventional interest income or the deliberate use of interest-bearing treasury arrangements. [5]

Illustration. The interim financial statements of Al Rajhi Commodities Mudaraba Fund – Saudi Riyal report purification charges of SAR 409 for the six-month period ended 30 June 2022, against net assets of approximately SAR 20.66 billion. The very small amount relative to the fund's net assets, together with its treatment as income requiring purification under the fund's Shariah Board-approved procedure, points towards the possibility that the impermissible income was incidental. However, the statements do not establish whether the income was accidental or unavoidable, so this remains an inference rather than a confirmed conclusion. [6]

4. Financing-Contract Rules

Because many "Islamic" financial products use the same handful of contract types, each type is evaluated individually rather than accepted by name alone.

4.1 Murabaha

Murabaha is accepted only where there is evidence that it complies with AAOIFI standards or has been approved by a recognized Shariah board, or where the transaction is independently verified as a permissible Murabaha. A transaction labeled "Murabaha" is not, by itself, sufficient; a transaction labeled "Shariah-compliant Murabaha" with an AAOIFI or Shariah-board basis is

accepted. This is because the methodology's own conditions for a valid Murabaha align with AAOIFI's conditions (Shari'ah Standard No. 8) [7], allowing AAOIFI or Shariah-board approval to serve as sufficient evidence without independently reconstructing every underlying transaction.

A permissible Murabaha must satisfy the underlying possession requirement: the financier must take actual or physical possession of the commodity before reselling it to the customer, since selling what one does not yet possess is not permitted [8].

In the author's view, a Murabaha's profit rate being benchmarked to a conventional interest-rate index such as SAIBOR or SOFR does not, by itself, invalidate the transaction. Provided the underlying sale genuinely satisfies the possession and ownership conditions above, using such a benchmark only as a reference for calculating a fixed markup is distinct from the transaction itself paying or receiving interest.

4.2 Tawarruq

Tawarruq is evaluated by form:

- **Classical or Individual Tawarruq:** A transaction in which a person purchases a commodity on deferred-payment terms and, after taking possession of it, sells it to an independent third party for immediate cash, usually at a price lower than the deferred purchase price. The buyer's objective is to obtain cash rather than to use the commodity itself. Under the scholarly position adopted by this methodology, it is considered permissible, subject to Shariah conditions. [9]

- **Organized Tawarruq:** A form of tawarruq in which the bank pre-arranges the customer's purchase of a commodity and its subsequent resale to a third party for cash, often without the required possession taking place. This is considered impermissible and excluded. [1]

- **Reverse Tawarruq:** A reverse form of organized tawarruq in which the roles of the customer and bank are reversed: the customer gives cash to the bank to purchase a commodity on the customer's behalf, after which the bank purchases the commodity from the customer on deferred-payment terms at an agreed higher price. Under the scholarly position adopted by this methodology, this arrangement is considered impermissible and excluded. [10]

- ***Bayʿ al-ʿInah* (Sale and Repurchase):** The commodity is sold back to the original seller. Shaykh Ibn Baz categorized this as a riba-based transaction and a legal trick to bypass the prohibition of usury. It is considered impermissible and excluded. [9]

Shaykh Ibn Baz affirmed that classical tawarruq is not riba and is permissible, provided the purchaser does not sell the item back to the original seller, since doing so constitutes bay' al-'inah [9].

Shaykh Ibn 'Uthaymeen took a similar middle position in *Risaalah al-Mudaayanah*, holding classical tawarruq permissible subject to conditions including a genuine need for cash with no other lawful means of obtaining it, a contract free of riba-like terms, and the purchaser taking actual possession of the item before reselling it [9]. The genuine-need condition cannot be verified from public disclosures and is not tested.

Organized tawarruq is excluded under this methodology because it fails these conditions in substance: the bank never genuinely takes possession of or risk on the item, and the arrangement functions as a disguised cash loan [1].

Reverse tawarruq is excluded on the same basis, with the customer's and bank's roles reversed [10].

When a company describes a facility only as "Islamic" without further detail, the specific underlying structure (Murabaha, permissible tawarruq, organized tawarruq, Ijara, etc.) must be established before a determination is made.

4.3 Ijara

Ijara (Leasing) is a lease contract in which one party allows another to use an asset in return for rent. Each arrangement is assessed individually; an “Islamic” label or AAOIFI compliance alone does not establish permissibility. The assessment examines whether the lessor owns the asset or has the right to lease it, whether the lessor fulfills the responsibilities associated with ownership, and how any transfer of ownership at the end of the lease is structured. [11]

This methodology also requires that Ijara arrangements involve no leverage: the lessor's acquisition of the leased asset must not itself be financed through conventional interest-bearing debt.

4.4 Sukuk

Sukuk (Islamic bonds) must be assessed individually according to their actual contractual structure. The label “Sukuk,” a Shariah board's approval, or AAOIFI compliance alone does not establish permissibility under this methodology.

Sukuk are excluded if they effectively represent interest-bearing loans, guarantee the investor's capital and a stipulated return regardless of the underlying investment's performance, or otherwise fail the applicable requirements of their underlying Shariah contract.

For investment and profit-sharing structures such as Mudarabah and Musharakah, profits must be an agreed proportion of actual profits rather than a fixed amount or a percentage of the

invested capital. Capital must not be guaranteed against genuine investment losses, except where liability arises from negligence, misconduct, or breach of contractual obligations. [12]

For Ijara Sukuk, the underlying lease must be examined independently. This includes verifying genuine ownership of the leased assets or usufruct, the allocation of ownership-related risks and obligations, and any arrangement for transferring or repurchasing the assets. A fixed rental payment does not by itself establish that a lease is impermissible; the actual contractual structure must be assessed. [11]

The permissibility of loss-prevention mechanisms requires further research. This methodology does not yet establish a general rule for such mechanisms, and their presence alone is insufficient to determine whether a Sukuk is permissible.

5. Screening Process

1. Start with companies on Dr. al-'Usaymi's “pure stocks” list. Companies not on the list can also be screened, as the list may not include every compliant company.

2. Evaluate the selected company against its latest available financial statements and the Shariah criteria established in this methodology. A company's previous classification as compliant does not guarantee its continued compliance, as its financial position, financing arrangements, and treasury practices may change over time.
   Scope of screening*.* Screening is applied on a consolidated basis. A company is also excluded if any of its subsidiaries or associates fails the criteria in Sections 2 to 4.

3. **Use of AI in Financial Research:** AI tools have proven beneficial in reviewing company financial statements and identifying information relevant to the screening process. In particular, AI can assist in locating specific terms and disclosures related to the investigation, including “organized tawarruq,” “Shariah compliance,” conventional interest-bearing debt, interest income, and other financing arrangements requiring further examination. AI-generated findings are used as a research aid and must be verified against the original financial statements, company disclosures, and other relevant sources before any determination is made.

4. **Final Shariah Compliance Determination:** Based on the evidence gathered, determine whether the company meets the Shariah criteria established in this methodology. The conclusion must be supported by the available evidence. Any significant uncertainty about a company's compliance must be documented rather than resolved by making assumptions without sufficient evidence.

Note: This methodology is concerned exclusively with Shariah compliance screening. It does not assess a company's valuation, growth prospects, financial attractiveness, or suitability for inclusion in an investment portfolio. These considerations may be evaluated separately after the

screening process, but they do not form part of the Shariah compliance determination and cannot override its outcome.

6. Findings

The companies below were selected as examples. Some come from al-‘Usaymi’s list, while others (such as Nvidia, Apple, Hindustan Unilever [25], and Infosys [26]) are sometimes listed as “Shariah compliant” by commercial screeners and are included to show what a stricter standard catches. These results are based on each company’s most recent annual financial statements at the time of review, are not investment advice, and may change as new filings are released.

Company/Fund	Country	Sector	Result	Reason
Nahdi Medical Co.	Saudi Arabia	Pharmacy retail / healthcare	Compliant	Zero debt; Murabaha deposits verified (FY2025) [13]
Al Mawarid Manpower Co.	Saudi Arabia	Manpower / recruitment services	Compliant	Company confirmed Shariah-compliant financing and treasury practices (Investor Relations, September 2026). [14]
SADAFCO	Saudi Arabia	Dairy / Food	Inconclusive	Invested in Al Rajhi Tier 1 Sukuk which requires structure assessment. [15]
Saudi Azm	Saudi Arabia	Technology / IT Services	Inconclusive	Shariah approval basis and organized tawarruq status of financing unverified. [16]
Medicare Group	Qatar	Healthcare	Inconclusive	Bank financing terms and Islamic deposit structures remain unverified. [17]
SABIC Agri-Nutrients	Saudi Arabia	Fertilizers / Agricultural Materials	Inconclusive	Shariah compliance basis of substantial Murabaha deposits unverified. [18]
Almarai Company	Saudi Arabia	Dairy / Food	Non-compliant	Interest income on deposits alongside substantial interest and finance charges. [19]

Company/Fund	Country	Sector	Result	Reason
AP Oil International Limited	Singapore	Lubricants / Oil Products	Non-compliant	Interest from bank fixed deposits and holds a convertible promissory note bearing 9% interest.[20]
NVIDIA Corporation	United States	Semiconductors / AI Hardware	Non-compliant	Reported US$2.3 billion in interest income from cash and debt securities. [21]
Apple Inc.	United States	Consumer Electronics / Technology	Non-compliant	Holds substantial US Treasury and corporate debt securities, alongside certificates of deposit and time deposits. [22]
Infosys Limited	India	IT Services / Consulting	Non-compliant	US$304 million in interest income on financial assets carried at amortised cost or fair value through other comprehensive income. [23]
Hindustan Unilever Limited	India	Consumer Goods / FMCG	Non-compliant	Reported interest income from bank deposits and current investments. [24]

7. Verification Process and Evidence Sources

Where possible, screening decisions are based on a company's own audited financial statements rather than third-party data alone. Official filings are obtained from the relevant stock exchange and reviewed in detail.

Financial statements are examined for interest income under notes such as “Other Income,” “Finance Income,” and “Investment Income.” The “Cash and Cash Equivalents” note is also reviewed to identify the nature of cash holdings and whether they generate conventional interest or returns through Shariah-compliant arrangements.

When financial statements mention financing facilities, relevant terms such as “special commission income,” “Tawarruq,” and “commodity Murabaha” are investigated to identify arrangements requiring further review under Section 4. A profit rate linked to a conventional benchmark, such as SAIBOR or SOFR, is a reason for further investigation, not automatic disqualification, since a genuine Murabaha may use such a benchmark to determine its agreed sale price.

Where public disclosures do not provide enough information about a company's financing or treasury practices, written clarification is sought from its Investor Relations department. Questions may cover outstanding financing facilities, interest earned on cash balances, and the nature of returns on cash placements.

Where a specific financing detail cannot be independently verified from public disclosures, and no other aspect of the screening in Sections 2 through 4 has raised a concern, such as an indication of organized tawarruq, reverse tawarruq, or conventional interest, the existence of an active Shariah board overseeing the company's financing may be treated as supporting evidence for that specific unverifiable detail. This is a narrow fallback for closing residual gaps in an otherwise clean screening. It does not substitute for the independent checks in Sections 2 through 4, and it is overridden by any contrary evidence found elsewhere in the screening.

8. Key Definitions

Riba. Interest; a guaranteed return for lending money regardless of the borrower's outcome. This is the core risk this methodology screens against.

Sukuk. An Islamic bond representing partial ownership in a real asset or activity, rather than a debt obligation carrying interest.

Ijara. A leasing structure in which a real asset is owned and leased to an end user, with return generated through rental income rather than interest. A structure in which the rental rate and buyback price are both fixed in advance behaves economically like a conventional bond and is treated with greater scrutiny than a structure where the buyback price reflects the asset's actual value at the end of the lease.

Murabaha. A cost-plus sale in which an institution purchases a real asset and sells it onward at a disclosed, fixed markup. Profit derives from a genuine trade rather than from lending cash. Where the underlying purchase and sale is not genuine and the institution never takes real ownership or risk, the structure is more accurately classified as tawarruq (Section 4.2).

***Mudarabah*.** Profit-sharing partnership. One side provides capital, the other provides expertise/effort, and they split actual profits by an agreed ratio. If there's a loss, the capital provider absorbs it.

***Musharakah*.** Joint venture partnership. Both sides contribute capital (and possibly effort) and share profit *and* loss in proportion to their contribution.

***Tazkiyah* (Purification).** The practice of donating away any impermissible income rather than retaining it as profit.

Al-ghunm bil-ghurm. The principle that gain must be accompanied by the risk of loss; the underlying test used throughout this methodology to judge whether a financing structure is genuinely compliant in substance rather than only in name.

9. Limitations

This methodology relies on publicly available financial disclosures, which do not always provide the granularity needed to fully verify treasury practices or the precise structure of every financing contract. Where disclosure was insufficient to make a confident determination, this is noted individually in the findings rather than resolved by default assumption. The primary-source framework (Ibn Baz, Ibn 'Uthaymeen, IslamQA) reflects one set of scholarly positions within Islamic finance; other qualified scholars may reach different conclusions on individual contract structures, particularly for Sukuk and Ijara.

In practice, this methodology has so far only identified companies that pass every criterion above within Saudi Arabia (KSA); no fully compliant company has yet been identified in other markets, which may reflect either genuine differences in market structure or simply the limited scope of research conducted to date.

Sources

[1] IslamQA, Ruling on Tawarruq Involving Shares via Al-Rajhi, Answer No. 95138.

[2] Maqased Office for Economic Consultations, Annual Report 2024 (Arabic), published 15 August 2025. almaqased.net

[3] Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI), Shari'ah Standard No. 21: Financial Papers (Shares and Bonds).

[4] IslamQA, Is Buying Shares Halal?, Answer No. 112445.

[5] IslamQA, Purifying Clean Shares, Answer No. 383342.

[6] Al Rajhi Capital, Interim Financial Statements of Al Rajhi Commodities Mudaraba Fund – Saudi Riyal, for the six-month period ended 30 June 2022, p. 2, and Note 12, p. 11.

[7] AAOIFI, Shari'ah Standard No. 8: Murabahah.

[8] IslamQA, What Conditions Should Be Met for a Bank's Murabahah Purchase Scheme to Be Permissible?, Answer No. 36408.

[9] IslamQA, Ruling on Tawarruq Sales, Answer No. 45042.

[10] IslamQA, Ruling on Reverse Tawarruq or Reverse Murabahah, Answer No. 111906.

[11] IslamQA, Ruling on Lease-to-Own Agreements, Answer No. 100797.

[12] IslamQA, Question About Mudarabah Sukuk and a Proposed Contract (Arabic), Answer No. 403075.

[13] Nahdi Medical Company, Audited Consolidated Financial Statements for the Year Ended 31 December 2025.

[14] Al Mawarid Manpower Company: (a) *Audited Consolidated Financial Statements for the Year Ended 31 December 2025*, relevant notes on cash, income and financial risk management; and (b) Investor Relations, private correspondence with the author, 25 September 2026, clarifying the Company's financing and treasury practices.

[15] Saudia Dairy and Foodstuff Company (SADAFCO), FY2025 Audited Financial Statements, Note 9.1, p. 39 (Al Rajhi Bank Tier 1 Sukuk holding).

[16] Saudi Azm: FY2025 audited financial statements, Note 29, p. 44, (finance charges on loans and bank guarantees).

[17] Medicare Group, FY2025 Audited Financial Statements, Note 9, p. 23 (accrued profit on deposit with an Islamic bank); Note 10, p. 23 (short-term deposits and profit rates); and Note 15, pp. 24–25 (QR 150 million bank-financing facility).

[18] SABIC Agri-Nutrients Company, FY2025 Audited Financial Statements, Note 27, p. 57 (income from Murabaha deposits).

[19] Almarai Company, FY2025 Financial Statements, Note 31 (reported interest income).

[20] AP Oil International Limited, FY2025 Results Announcement and Financial Statements, pp. 3, 9 and 19 (interest income).

[21] NVIDIA Corporation, Form 10-K for Fiscal Year 2026, p. 42 and Note 7, p. 65 (US$2.3 billion in interest income). SEC Filing.

[22] Apple Inc., Form 10-K for Fiscal Year 2025, Note 4, pp. 36–37 (U.S. Treasury securities and corporate debt securities). SEC filing.

[23] Infosys Limited, Form 20-F for Fiscal Year 2025, Note 2.16 (interest income on financial assets). SEC filing.

[24] Hindustan Unilever Limited, Annual Report FY2025–26, Note 26, p. 313 (₹139 crore interest income from bank deposits and ₹212 crore from current investments).

[25] Musaffa, Shariah compliance pages for NVIDIA (NVDA), Apple (AAPL), and Hindustan Unilever (HINDUNILVR.NS), AAOIFI methodology.

[26] Muslim Xchange, Infosys Ltd (INFY) Shariah compliance page.